

Unit 12 Group Behaviour – 2 (The Team)

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12.1 Introduction

In the previous unit, we studied about groups and analysed the various aspects of group along with the types of groups. In this unit, we will learn about teams. A team is not new to anyone of us. We played in teams in our school, some of us captained our teams and some of us were kept out of the team where we wanted to be a part. So, from our childhood, the idea of team has been engrained within us. We found meaning in it and developed our self identities around it. But then why is there this new clamour of team in organisations? Globalisation and rapid changes in external environments has compelled us to find new ways to remain competitive. Hence, organisations have continued to decentralise and re-engineer their business processes. They also downsize, and empower their employees far more than it ever did. To facilitate these changes and gain a competitive edge, managers are increasingly turning to team structures. Perhaps we have realised that the underlying potential of human spirit which compelled each one of us to sink all our differences and give all our energy to score that one goal or make that last run is what the organisations have failed to tap.

Objectives:

Learning objective are to:-

- To define a team and provide an overview.
- To learn its characteristics.
- To understand the nuances of designing a team and the important issues in it.
- To get an overview of building intact and cross functional teams.

Learning Outcomes

After studying this unit, you will be able to:

- define what a team is.
- explain how it differs from a group and the benefits of a team.
- explain the characteristics of a team that effect performance.
- explain cross functional team.
- explain the steps in creating an 'intact' team.

12.2 Case Study**Green Path Hotels**

We hope you recall the case of GreenPath Hotels we learnt in an earlier unit in MP. GreenPath runs on teams from end to end and is the reason for the phenomenal success of the company with such a low capital churning out high profits. It has a management team comprising of the General Manages of the Hotels, VP marketing, Finance, HR and Strategy consultant. Interestingly, this team has members from the government tourism department and one of the top notch travel agency of the country, the most frequent user customer of the previous year and a travel journalist. They meet once in a quarter. The team is led by a GM who is elected for the purpose by voting by the members of the team and the chairman who has three votes in case of a decision impasse (which has never happened in the last three years). They take all the decisions on the areas to expand, marketing strategy, locations for expansion and operational details of higher nature. Though named as management team, it is in fact a cross functional intact team.

To run the hotels smoothly they replicate the same at the hotel level except that there are no members from the external system except the local village head. They call it 'My Team'. It is in fact an employee

participation team which decides on the productivity level, quality of service, how to care for customers, and what food festivals to launch and so on. Most operational details of the hotel are decided by them, executed by them and reviewed by them. Because of the cross functional nature, the departments monitor and control each other. Customer satisfaction levels are exceptionally high. The desire to compete with each department is also high. So, if the house keeping gives surprises in its quality of service to the customers, the cook would make a fresh cake for someone who is in the resort and having his/her birthday. One customer wrote to the Chairman, "People from many hotels have sent me e-cards for my birthday. But last time, I was in your resort and had to leave at 6 a.m. on my birthday to catch my flight, your staff surprised me with a bouquet and a packed birthday cake which the GM and the senior most employee came and presented me. Outrageous service, care....and LOVE." The chairman put the letter aside thinking, "surprise to him, it happens to every customer here".

Last time a customer suggested that the room cleaning and upholstery needed some care, the hotel did not have time to blame the housekeeping which would be the case in many hotels. The problem solving team swung into action and this too is a cross functional one. The front office representing the marketing, the resort finance executive and the hotel service representative besides the house keeping representative were all part of it. It was headed by the person in charge of the room and they investigated the problem thoroughly, solved it and then checked if it could occur elsewhere. Although the team members were blaming Ms Rani who was in charge of the team and she was traumatized, they quickly changed their stance and supported her when the Mr. Ram the good old cook reminded everyone their values and how they had been working so far and how they should. The front office accepted responsibility for not keeping a tag, the finance for probably not providing enough resources and the room in charge for not thinking more creatively.

GreenPath may be unique in India but she is part of a global movement which Cohen and Baily identify. Their research shows that in the United States, 82 percent of companies employing more than 100 employees have turned to the use of teams to support organizational goals. It means that there has been a fundamental change to the structure of the organisation and though we may be still sticking to the traditional departments, the new structure is already in place.

12.3 Definition and Overview of a Team

What is a team?

A team can be defined as a group of people operating with complementary skills and a high degree of interdependence and accountability to achieve a common and usually difficult goal collectively with authority to execute and the rights to share rewards for the performance.

A team is any group of people organised to work together interdependently and cooperatively to meet a purpose or a goal. Teams are created for both long term and short term interaction. A product development team or an executive leadership team are examples of long lasting ones. Short term teams might include a team to develop an employee 'on boarding' process, a team to plan the annual day of the company, or a team to respond to a specific customer problem or complaint. The common types of teams are:

- **Functional or departmental teams (also called intact teams):** Groups of people from the same work area or department, who meet on a regular basis to analyse customer needs, solve problems, provide members with support, promote continuous improvement, and share information. These are also sometimes called intact team which means that they operate within a department to support a function of the department.
- **Cross-functional teams:** Groups of people who are pulled together from across departments or job functions to deal with a specific product issue, customer problem, or to improve a particular process. A full discourse on it is included later in this unit.
- **Self-managing teams:** Groups of people who gradually assume responsibility for self-direction in all aspects of work. This is more a characteristic or nature of the team and indicates its degree of autonomy. Thus, for example a cross functional team would also be self managed.
- **Based on the function:** Teams can be called project teams (which are usually cross functional and self managed), employee participation team, maintenance team or problem solving team which usually is a departmental or intact team and management team which is intended to take managerial decisions or managerial level problem solving. They are usually cross functional and self managed.

How do groups and teams differ?

Teams and work groups appear very similar. However, there are three distinct differences between them. These are:

- **Performance need:** Teams are used or created and deployed when a revolutionary performance need exists or is required. If there is an earthquake or a nuclear disaster as in Japan, we need a crisis team which has to perform at any cost. This is what a team does and a group does not.
- **True interdependence:** While a group may have interdependence, it may be a loose one. A team has true interdependence. You can see this in a product design team, crisis team or a football team.
- **Shared accountability:** As a result, the shared destiny is strong; feeling of shared success and the fear of failure are also high.

In addition to these, there are several differences such as method of formation, assignment of leadership, degree of intimacy with the leader, consequences of action against one member etc.

What are the benefits of a team?

Groups and teams have similar benefits, but some of the benefits are more pronounced in a team. The following are some of the benefits of a team:

- **Accomplish targets:** Teams can accomplish what a work group normally cannot because of its ruthless focus on the objective or target. The need to achieve the objective and the failure of it being equal to failure of each individual, the team makes everyone work towards the goal relentlessly.
- **Creative solutions and better decisions:** Teams brainstorm because the destiny in terms of the objective is so strong, they brainstorm all possible solutions which bring forth diversity of ideas and give a better chance to succeed. In effect, this leads to better decisions.
- **Detect flaws in solution:** Problems are detected early because of the interdependency and feeling of oneness. People are able to bring this up without fear of any reprisal since not doing so could lead to failure. Hence, everyone accepts the need to do it.

- **Work culture:** It creates a strong work culture as people become part of the team and are willing to contribute effectively. As a result, the work in teams becomes fun and level of contribution goes up.
- **Increase in information sharing amongst team members:** Teams increase the information sharing and therefore make decisions faster and more systematic.

Increase employee motivation/engagement: An effective team increases employee motivation and is an ideal tool to achieve employee engagement because of the participatory nature and support by the members.

Disadvantages of a team

- Some individuals are faster/better on certain tasks in an individual basis but that does not mean that they should not be trained and integrated into a team.
- Process losses and time loss for developing and maintaining teams is often criticised.
- Social loafing which we learnt in group is a danger in teams too. In order to minimise social loafing, management can make individual performance more visible while in a team setting. This can be done by forming smaller teams, specialising specific tasks to certain individuals, and measuring individual performance.

Why does team building fail? The typical team-building effort proves ineffective, for three reasons.

- First, many organisations get it done through an external consultant. The consultant is often unfamiliar with the particular characteristics of the business, organisation, and its people.
- Second, such consultants attempt the team building as an offsite training activity in artificial settings that fail to adequately reflect actual work-site conditions and therefore make transfer difficult.
- Third, it fails to plan for, monitoring and assessing the transfer of team-building activities to the work environment.

Therefore, one can see that the critical reason for the failure of team building and team structure is the failure to use the most important internal resource i.e., the manager. Managers play a critical role in maintaining

team climate through their day-to-day activities. Therefore, team building must be an ongoing activity, internal to the organisation. It should be made one of the manager's primary responsibilities rather than be made an external consultant driven activity.

Self Assessment Questions

1. A team can be defined as a group of people operating with _____ skills and a high degree of _____.
2. Three distinct difference between a group and team are performance need, _____ and shared accountability.
3. Some individuals are better on their own and therefore they should be left out from a team. (True/False)

12.4 Seventeen Characteristics of an Effective Team

Based on brainstorming session by Subject Matter Experts (SMEs), Mealiea" identified 12 summary dimensions of team climate and provided preliminary empirical support to the argument that each of the 12 characteristics is significantly related to team performance. More have been added to this list in due course and today we recognize 17 such characteristics. Recent research by Mealiea and Baltazar found that collaboration, networking, goal knowledge, and team orientation explained a significant proportion of team outcomes such as group productive output, team growth, and individual satisfaction.

The following are the seventeen characteristics that make an effective team:

1. **Clear purpose** refers to the condition where group members agree on the group's goals. These shared goals act to spark group effort by providing clear direction and buy in. (It should be noted that such goals could have been unilaterally set by the leader as it often happens in an organisation, jointly set by the leader and group members, or set by group members independent of the boss).
2. **Consensus decision making** occurs when groups allow all members to express their opinions and preferences openly and discuss any disagreement that might exist. Within the consensus decision-making process, all members are allowed to 'have their day in court' while building a consensus as to which alternative is correct. Some members

may still believe that there is a better alternative but can accept the position taken by the other group members.

3. **Shared leadership** occurs when such leadership roles as contributor, collaborator, challenger, facilitator, and controller are carried out by the group members rather than by the group's leader exclusively. Such shared leadership varies from situation to situation and may not always be carried out by the same individual.
4. **Listening** reflects the willingness of group members to listen to others in an effort to achieve interpersonal understanding and facilitate interpersonal sensitivity. Team members actively seek out listening opportunities to ensure open channels of communication are maintained.
5. **Open communication** occurs when group members take advantage of communication opportunities, openly share their feelings, provide timely and relevant feedback, and share relevant information with other group members.
6. **Self-Assessment** allows groups and their members to assess performance, changing environments, and existing goals. Such assessment allows groups to determine when changes should be made to ensure group success.
7. **Civilised disagreement** implies that groups have developed appropriate internal mechanisms and interpersonal sensitivities necessary to manage the full range of conflicts that occur within the groups.
8. **Style diversity** occurs when group members are not only tolerant of style and behavioural differences but also actively seek out those differences necessary to perform and develop.
9. **Networking** reflects group members' ability and willingness to link up with others, external to the group. Such contacts can be drawn upon for information, support, and assistance when needed to facilitate goal achievement.
10. **Participation** by group members in a broad range of group activities and decisions facilitates member buy-in. Participation also facilitates strategy development and increases member self-efficacy.

11. **Informal relations** occur within a group environment that can be characterised by a comfortable and relaxed atmosphere. Under these conditions, interpersonal interactions are sought out and maintained because members feel comfortable with each other.
12. **Clear roles and assignments** occur when group members have a clear understanding of their roles and assignments and other group members also agree to the roles.
13. **Willingness to share** allows group members to benefit from the knowledge, experience, emotional support, energy, and tools/equipment possessed by other group members.
14. **Prepared for independence** increases the probability that group members have the requisite skills necessary to perform required tasks. This can be achieved either through formal training, coaching, or self-development.
15. **Structural support** creates a work environment designed to facilitate group performance, e.g., open communication channels, team-based reward system, etc.
16. **Leader/Management style** relates to the manager's ability to support, encourage, coach, and empower his or her staff so as to facilitate employee self-confidence, self management, and interpersonal interactions.
17. **Learning environment** relates to the degree to which the group/organisational environment permits group members to learn from their experiences and the experiences of others.

Self Assessment Questions

4. There are _____ important characteristics of a team that leads to performance.
5. Shared leadership occurs when such leadership roles as contributor, collaborator, challenger, facilitator, and controller are carried out by the group's leader exclusively. (True/False)
6. Networking reflects group members' ability and willingness to link up with others in the group. (True/False)

7. Learning environment relates to the degree to which the group/organisational environment permits group members to learn from their experiences and the experiences of_____.

12.5 Designing a Team Based on its Functions

Teams are generally small, often five to nine members. Teams should be large enough to be diverse and creative and small enough for easy communication and cohesion. It has been found that teams with odd numbers tend to be more successful though one cannot attribute any strong reason to it. While this may be so, the strength is only a guideline. Every team has nine functions to work on to be successful. These are captured in the 'Team Wheel' (which captures these nine functions including that of the linker) depicted in figure 12.1. Irrespective of the number of people in a team, someone has to fulfil these functions. A brief explanation of each function is as follows:

- **Creator innovator function:** This means future orientation and is often done by people who think little of the present. They are creative and often have their heads in the cloud and tend to be introverted. They tend to be people of ideas who pursue their ideas relentlessly. In essence, it means creating ideas.
- **Explorer promoter function:** The ideas created have to be promoted and some people excel in this. They are entrepreneurial in nature and have excellent networking skills. They are out and about and bring back contacts and resources. They are always looking for the next opportunity and therefore are not good in controlling and having something going on in a typical business format.
- **Assessor developer function:** Someone has to show strong analytical capabilities and make others' ideas work. Some excel in this and they can be categorised as typical start up managers. However, once the idea is materialised, they lose interest and look towards next project. You can often see them moving from project to project.
- **Thruster organiser function:** You need to get work done to a schedule. You need people who create the systems and nurture it. They work as per established plans and are task oriented. They are the people who can get things moving.

- **Concluder producer function:** A team can work only if there is someone who can take things to its logical end just like a typical manager. Such people are not excited about new ideas but in getting something that is going on perfected. Senior and middle managers of most firms show this quality.
- **Controller inspector function:** They are quite reflective people who work with facts and figures. They are comfortable working with rules and regulations and ensure that they enforce these.
- **Upholder maintainer function:** They are the conscious keeper of a team. They have strong values and morals and ensure that the team takes these into consideration.
- **Reporter advisor:** This person does the classic advisory role. The advisor collects information and takes actions only with full information. He is quick to detect conflicts and proactively prevents them.
- **Linker:** This person links all the functions. They do three types of linking: 1) external linking which is required to mobilise resources, 2) internal linking with own employees to ensure integration and working arrangement with people and 3) informal linking in the team which actually facilitates smooth functioning across departments. Usually this person is the team leader. If not the formal leader, the person attains some informal status.

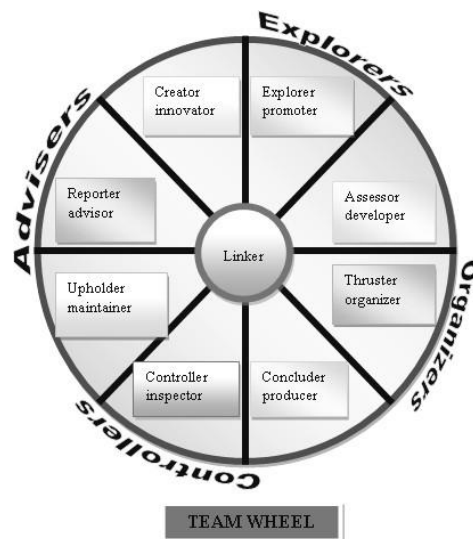


Fig. 12.1: Team Wheel

It is not that one person is endowed with only one quality. One may have several of these. What we just studied is a list of roles that are required for effective team functioning. When we create a team, it is prudent to ensure that there are people to fulfil these roles. If not, there may be a need to train someone in the deficient area.

Self Assessment Questions

8. Creator innovator function means_____and is often done by people who think little of the present.
9. Every person in a team should have the nine abilities except perhaps the linking ability which only the leader needs to have. (True/False)
10. People who can get things moving in a team are called_____.

12.6 Key Issues in Team Building

All managers strive to improve their performance and business results and they consider teamwork to be crucial for it. So, you have teams for continuous improvement, total quality, lean manufacturing, customer complaints, product development, etc. Yet, most managers are also not happy with the way the teams function. Let us see how we can create teams which can give excellent performance or results.

- **Have clear expectations and context:** Have clear performance targets and expectations from the team. The team should get sufficient resources-people, time and money. Their work should receive sufficient emphasis as a priority in discussions. This makes the team feel that they matter and then they perform. A classic example is the Nano team which was directly supported by Ratan Tata. Equally important is that the team understands the role and importance of their work and its strategic importance. Of course, this may not be so for some temporary teams such as a team created to celebrate an annual or award function. The team members should be able to define their importance if a team has to yield results.
- **Commitment:** All team members may not be equally committed. First, ensure that all the members believe in the mission and anticipate recognition for their contribution. They expect their skills to grow and develop and they should feel excited and challenged by the opportunity.

Only then does a team work well. Those without commitment are better out of the team.

- **Team design and competence:** The next important aspect is having adequate competences. If the team is to improve a process, it should have people with expertise in each step of the process. Therefore, it is not sufficient to get some people together, but it is necessary to get people with the requisite competencies. If one fails in this, the teams may not perform or underperform. The team design should be such that the competencies required to accomplish the task are included. In addition to the technical competencies which vary from task to task, teams succeed if they have the right managerial or leadership competencies. The team wheel is one structure that we can look at to ensure that the competencies mentioned therein are included. Researchers have experimented with the team wheel and trained people in the deficient areas to ensure better team success.
- **Charter of performance:** The team should take the assigned responsibility as its mission. This is the crux of a successful team. It must define its goals, the outcomes, the timelines, measuring success, and the process to accomplish tasks. Equally, the support of top leadership for the work of the team is a precondition. The task of the team should be a task derived from the top management if it has to succeed.
- **Control and coordination:** Any management function works through controls and coordination and teams are no exception. Some of the issues to be considered are what are the controls the team members accept and impose on themselves, what are the limitations in terms of money, time, how far the members should go in pursuit of the solutions, what is the degree of freedom and the chain of reporting. To succeed, the teams should have sufficient freedom and a mechanism for self regulation and coordination. One of the challenges in doing it is the interdepartmental nature of the team and the interdepartmental conflicts which are often taken to the team usually by denying a resource or an appropriate skill. The top management can address this challenge through incentives and motivation.

- **Collaboration:** The team goals should be a collaborative one and not a competitive one. This would lead to their understanding and interpreting the goals correctly. The teams should also establish norms so that collaboration becomes easy. If the output is defined correctly and the reward for accomplishment fair and equitable, then teams tend to collaborate more effectively.
- **Communication:** This is a common problem in team building. The barriers to communication should be broken down and free flowing communication should be established. Despite all these, conflict does exist due to several barriers. The ability to detect conflict and resolve it in time is another key to success.
- **Consequences:** Team members should feel responsible and accountable for the achievement and they should inherently get the idea of consequences of not achieving it. Reward is one of the important factors to be considered to achieve this. Else, there will be finger pointing and related issues that make the teams non-functional. Look at a successful soccer or cricket team and you get the idea intuitively.
- **Creative innovation:** Depending on the problem, the teams should be able to innovate and they should have the freedom to do so. Even if the composition of the team is ideal, one cannot get results if they do not have the freedom for creativity.
- **Cultural change:** Teams can function only if the organisation has such a culture. Teams need flat organisational structure, rewards and recognitions, and training and development of a high order. Traditional companies are not designed for effective team operation.

Self Assessment Questions

11. Charter of performance means that a team must define its goals, what the outcomes will be, the _____ the way of measuring success and the _____ to accomplish tasks.
12. The team goals should be a _____ one and not a competitive one.
13. If a team is solving a complex problem with no apparent answer, even if the composition of the team is ideal, one cannot get results if they do not have the freedom for _____.

14. Teams need _____ organisational structure, rewards and recognitions, and training and development of a high order.

12.7 The Seven Step of Intact Team Building

An intact team is a departmental team that attends to daily work in an effective manner. It is therefore important to understand how to create such a team systematically. Let us study the seven steps in the process:

Step 1 - Identify the team characteristics considered predictive of team success: These are the 17 characteristics we studied earlier.

Step 2 - Measure the existing team characteristics and create a profile: It is important to recognise that research demonstrates a clear link between the presence of positive team characteristics and team effectiveness. Therefore, managers must find a mechanism to measure the degree to which relevant team characteristics currently exist in a given environment. This information can be used to create team climate surveys, team climate diagnosis, team innovativeness, measure team development, and for the selection of new team members. There are three traditional approaches to collecting this information; paper-and pencil questionnaires or surveys, direct observation, and interviews.

Step 3 - Identify the deficient team characteristics: This is done by measuring the gap. If we are using an empirical method using a questionnaire, then we can find the scores to get the above result. If we are approximating using words like 'Very High', 'High' etc., then we can identify those that are above or below the average.

Step 4 - Use pre-established decision criteria to select the appropriate intervention sequence to change deficient climate characteristics: It is not possible to make up all the deficiencies of a team because it may not be practical from an organisational point of view to sink all the time in intervention. So, some priority has to be created for interventions. Further, there is also an issue of sequence versus importance. For example, most would agree that clear purpose is essential to perform. However, to create a clear purpose, a high degree of agreement would be required. This cannot be done if the open communication, listening and civilised disagreement is low. Therefore, the manager might plan an intervention in these first though

the importance is for 'clear purpose'. It is this decision that this step should achieve. A list of criteria for selecting the intervention is given below:

- Likelihood of success
- Situational importance and urgency
- Complexity/Difficulty of desired changes versus organisation, leader, and group
- Member competencies
- Leader preferences or competencies
- Organizational culture and history
- Improvement in those areas with the greatest deficiencies
- Relevant sequencing issues
- Availability of internal/external hard resources (money, trainers, facilities, equipment, etc.)
- Team member characteristics and preparedness
- Likelihood of team member support
- Availability of time
- Political pressures and organisational realities
- Impression management issues (organisational optics)

Step 5 – Identify team-building strategies capable of overcoming deficiencies in team characteristics: Usually, after the intervention requirement is identified, a consultant or a trainer is called who undertakes a one or two day team building activity. This is not the most effective way though it can be part of the strategy. The strategy should be a well thought out one and the manager should understand that most of the elements of intervention strategy are organisational and lie within. Some of the strategies that a manager can draw upon are given below:

- Goal setting (clarify behavioural expectations as to desired team behaviours)
- Leadership – modelling desired team behaviours
- Structural changes – e.g., reporting relationships, required relationships
- Required interactions, pairing, task enrichment
- Empowering group as a whole – e.g., allow for group decision making and problem solving
- Changes to the performance management system – especially in the area of reward/behaviour links

- Formal training in deficient areas
- Team member coaching by team leader or peers
- Behaviour modification through shaping
- Constructive feedback
- Changing membership (transfers, infusion of new members, etc.)
- Kick starting retreats

Step 6 – Use pre-established decision criteria to select the appropriate intervention strategies to improve deficient team characteristics: Here again, managers are unlikely to have the time, energy, or resources to apply all improvement strategies simultaneously. Nor is it likely that all improvement strategies will be equally effective when applied to any one team characteristic. Managers should therefore once more articulate and apply a number of decision criteria that would help them decide on the appropriate mix of improvement interventions. A manager can use the criteria given under Step 4. Which interventions are selected will reflect the unique characteristics of the situation being considered and the managerial philosophies of key decision makers.

Step 7 – Implement and assess improvements: Implementation is a critical component of any team-building intervention. It is the point at which analysis and planning become reality. Each intervention will have its own unique sequence of steps designed to bring it on line and obtain the desired improvement in the selected team characteristic. We are not covering the steps in implementation as it is the same as in any other intervention and would be covered elsewhere when advanced topics are discussed in the course.

Self Assessment Questions

15. An intact team is a _____ team that attends to daily work in an effective manner.
16. To measure existing team characteristics there are three approaches i.e., collecting this information through paper-and pencil questionnaires or surveys, _____, and interviews.
17. Likelihood of success and situational importance and urgency can be used as pre-established decision criteria. (True/False)

12.8 Cross Functional Teams

Cross-functional team is a group of people with different functional expertise working toward a common goal. It usually includes people from finance, operations, marketing, and human resource departments. Typically, it includes employees from all levels of an organisation. Members may also come from outside an organisation (in particular, from suppliers, key customers, or consultants). Cross-functional teams often function as self-directed teams responding to broad, but not specific directives. Decision making within a team may depend on consensus, but often is led by a manager/coach/team leader.

They are less unidirectional – Till recently, decision making flowed in one direction. Overall corporate level objectives drove Strategic Business Units (SBU) objectives, and these in turn, drove functional level objectives. Today, organisations have flatter structures, companies diversify less (for example Microsoft and Google have not diversified into aircraft building, hotels or financial services unlike GE or Tata), and functional departments have started to become less well-defined. The rise of self-directed teams reflects these trends. Intra-team dynamics tend to become multi-directional rather than hierarchical. Interactive processes encourage consensus within teams. Also, the directives given to the team tend to become more general and less prescribed.

Greater scope of information – Cross-functional teams require a wide range of information to reach their decisions. They need to draw on information from all parts of an organisation's information base. This includes information from all functional departments. System integration becomes important because it makes all information accessible through a single interface.

Depth of information – Cross-functional teams require information from all levels of management. The teams may have their origins in the perceived need to make primarily strategic decisions, tactical decisions, or operational decisions, but they require all three types of information. Almost all self-directed teams need information traditionally used in strategic, tactical, and operational decisions. For example, new product development traditionally ranks as a tactical procedure. It gets strategic direction from the top management, and uses operational departments like engineering and

marketing to perform its task. But a new product development team would consist of people from the operational departments and often someone from the top management. In such cases, the direction from the top and the information from the departments are included right into the structure of the team so that it can take strategic, operational and tactical decisions by itself. Thus, these teams tend to take:

- Unstructured strategic decisions such as what markets to compete in, what new production technologies to invest in, and what return on investment to require.
- Tactical decisions like whether to build a prototype, whether to concept-test, whether to test-market, and how much to produce, etc.
- Structured operational decisions like production scheduling, inventory purchases, and marketing communication required to support it.

Range of users – Cross-functional teams consist of people from different parts of an organisation. Information must be made understandable to all users. Not only engineers use technical data, and not only accountants use financial data, and not only human resources personnel use HR data. Modern organisations lack middle managers to combine, sort, and prioritise the data. Technical, financial, marketing, and all other types of information must come in a form that all members of a cross-functional team can understand. This involves reducing the amount of specialised jargon, sorting information based on importance, hiding complex statistical procedures from the users, giving interpretations of results, and providing clear explanations of difficult. Data visualisation systems can present complex results in an intuitive manner and are very useful in a cross functional team.

Goal domination – Since the publication of Peter Drucker's views on MBO, business decision making has become more goal-oriented. Managers have come to view decision-making generally and strategic thinking in particular, as a multi-stage process that starts with an assessment of the current situation, defining objectives, then determining how to reach these objectives. Management by objectives took this basic scheme and applied it to virtually all significant decisions. Today, many firms have started to opt for a less structured, more interactive approach. One way of implementing this involves using self-directed cross-functional teams. Proponents of this concept hope that these teams will develop strategies that will re-define

industries and create new directions and that incremental improvements do not suffice to compete in the market. Cross-functional teams, using unstructured techniques and searching for revolutionary competitive advantages, allegedly require information systems featuring increased interactivity, more flexibility, and the capability of dealing with fuzzy logic, Artificial Intelligence (AI), etc. to leverage on information. These are now available and hence the cross functional team is progressively becoming a norm in organisations.

Self Assessment Questions

18. Cross-functional team is a group of people with different _____ working toward a common goal.
19. Cross functional teams are highly unidirectional. (True/False)
20. A cross function product development team may make unstructured strategic decisions such as what markets to compete in. (True/False)
21. _____ systems can present complex results in an intuitive manner and is very useful in a cross functional team.

12.9 Summary

Let us recapitulate the important concepts discussed in this unit:

- A team can be defined as a group of people operating with complementary skills and a high degree of interdependence and accountability to achieve a common and usually difficult goal collectively with authority to execute and the rights to share rewards for the performance.
- Some of the types of teams are intact teams, cross functional teams, self-managing teams, based on function.
- Teams are beneficial for accomplishing goals, creative solutions, detect flaws in solutions, strong work culture and increase in information sharing and motivation.
- Characteristics of an effective team are clear purpose, consensus in decision making, shared leadership, structural support, listening, open communication, self-assessment, civilised agreement, style diversity, networking, participation, informal relations, clear roles and

assignments, willingness to share, independence, learning environment and management style.

- Key issues in team building are having clear expectations, commitment, team design and competence, charter of performance, control and coordination, collaboration, communication, creative innovation and cultural change.
- Cross-functional team is a group of people with different functional expertise working toward a common goal. They are less unidirectional, have greater scope of information, different range of users and high goal domination.

12.10 Glossary

Cross functional team: Team with expertise from different departments/functional areas commensurate with the requirement of the problem to be solved or decision to be taken.

Intact Team: The team of a department which conducts the usual business using the team properties for higher effectiveness.

Team wheel: A model showing the nine important functions of an effective team.

12.11 Terminal Questions

1. What is a team ? How are teams beneficial to organisations ?
2. List the characteristics of an effective team ?
3. What are the key issues in team building ?
4. Write a short note on cross functional teams.

12.12 Answers

Self Assessment Questions

1. Complementary, interdependence
2. True interdependence
3. False
4. 17
5. False

6. False
7. Others
8. Future orientation
9. False
10. Thruster Organiser
11. Timelines, process
12. Collaborative
13. Creativity
14. Flat
15. Departmental
16. Direct observation
17. True
18. Functional expertise
19. False
20. True
21. Data visualisation

Terminal Questions

1. A team is any group of people organised to work together independently and cooperatively to meet a purpose of a goal. Refer 12.3 for more details.
2. Some of the characteristics of an effective group are clear purpose, shared leadership, consensus decision making etc. Refer Section 12.4 for more details.
3. Key issues in team building are having clear expectations, commitment, control and coordination etc. Refer Section 12.6 for more details.
4. It is a group of people with different functional expertise working towards a common goal. Refer Section 12.8 for more details.

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